DEPARTMENT OF THE NAVY
NAVAL INFORMATION WARFARE CENTER PACIFIC
53560 HULL STREET
SAN DIEGO, CALIFORNIA 92152-5001

J&A No. 26-225

JUSTIFICATION AND APPROVAL
FOR USE OF OTHER THAN FULL AND OPEN COMPETITION

1. Contracting Activity.

Department of the Navy, Naval Information Warfare Center Pacific (NIWC PAC).

2. Description of the Action Being Approved.

The proposed action is to increase the ceiling for contract N00039-19-D-0006 awarded to Lockheed Martin (LM) by $30,000,000 from $104,242,344 to $134,242,344 in support of Radiant Mercury (RADMERC). The cost-plus-fixed-fee (CPFF), Indefinite Delivery, Indefinite Quantity (IDIQ) contract was awarded on a sole source basis on 01 September 2019 with a five-year base period and one five-year option period. Based on the higher than expected burn rate, the option period was exercised on 27 October 2021, roughly three years earlier than initially planned. While the current contract's ordering period ends on 30 September 2029, the remaining contract ceiling has been allocated and is expected to be obligated by Third Quarter, Fiscal Year 2026. The ceiling increase is necessary to avoid a gap in services critical to the Department of War (DoW).

3. Description of Supplies/Services.

The ceiling increase to contract N00039-19-D-0006 will provide continued support for the Department of the Navy and other Agencies' RADMERC operations [redacted] The current contract provides for installation, program management, maintenance, modernization, and sustainment of RADMERC systems and will provide system security authorization support, and logistics and training services. The work scope also includes sustainment of existing [redacted]

Due to a software baseline compromise identified around March 2022, the National Cross Domain Strategy and Management office and NCDSMO and DoW Chief Information Office (CIO) directed the CDS developer, Lockheed Martin (LM), to ramp up efforts to deliver a new version. This directive, [redacted] have resulted in an increase in demand on current requirements, unplanned costs, and a higher demand for RADMERC services. To support the substantial unanticipated demand on the current contract's requirements, a ceiling increase of $12,028,735 was awarded on 13 February 2025, to avoid a gap in capability while the follow-on contract was pending.

[redacted]

Despite the February 2025 ceiling increase, the ceiling on N00039-19-D-0006 contract was nearly exhausted within seven (7) months, as NIWC Pacific [redacted] Customers not being prepared, changing/increasing their RADMERC order allocation, and updating their baseline, also resulted in a significant increase in changes to the RADMERC schedule, which further caused LM to bid for more support hours.

Contractually, multiple customers (new and existing), have asked for additional support with the current baseline, from upgrading existing systems, to requiring additional CDS installations. Since the transition of the RADMERC contract to NIWC Pacific, seventy-six (76) task orders have been awarded and the customer base has grown from [redacted]

[redacted]

[redacted]

4. Identification of Statutory Authority:

The statutory authority is 10 U.S.C. 3204(a)(1), as implemented by Federal Acquisition Regulation (FAR) Subpart 6.302-1: Only one responsible source and no other supplies or services will satisfy agency requirements.

5. Rationale Justifying Use of Cited Statutory Authority.

[redacted]

[redacted]

[redacted]

[redacted]

[redacted]

[redacted]

b. Substantial Duplication of Cost

The Government will incur significant costs if it were to use a contractor other than LM to sustain current RADMERC customers using the existing baseline software. RADMERC is funded through the [redacted] for continued sustainment of the RADMERC application baselines and through awards of contract actions for new or modified customer requirements. Customers may provide funding from various types of appropriations. Based on the [redacted] the funding associated with application baseline sustainment, maintenance, and modernization [redacted] Based on the complexities of the requirements, a nearly two (2) year delay will occur if a new contractor were to assume responsibility of the Navy's current CDS. This delay equates to an estimated $9.8M impact in duplicated costs for the Government, a significant cost that will not be recovered through competition.

[redacted] The estimated breakdown of costs were provided by RADMERC Subject Matter Exerts (SME) [redacted] of combined experience, extensive historical data, and the current Defense Contract Management Agency (DCMA)-approved labor rates for the incumbent.

Table 1.0: Delay & Duplication of Costs
[redacted]

[redacted]

6. Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable.

The proposed contract requirement will be synopsized on SAM.gov and any responses received will be considered prior to award. No additional market research was conducted because it is not practical, for the reasons discussed in paragraph 5 above, for any company other than LM to provide the required supplies and services. The USG did synopsize the previous procurement on the FEDBIZOPS via the NIWC PAC E-Commerce Central website on 03 December 2018. This announcement was posted for fifteen (15) days and resulted in only one question requesting the name of the incumbent contractor. No other questions were received before the end date of 18 December 2018. To date, no other potential sources have expressed interest in this requirement.

7. Determination of Fair and Reasonable Cost.

The Contracting Officer has determined that the anticipated cost to the Government for the supplies/services covered by this J&A will be fair and reasonable.

8. Actions to Remove Barriers to Future Competition.

Market research will be conducted for future contract requirements of this nature to determine the most advantageous method of fulfilling the Government's need. As part of any future market research, the Government will monitor the NSA certification activity to determine if any other CDS can meet the Navy's CDS certification requirements.

The Government has established a CDS Working Group specifically to identify a viable long-term solution that meets the requirements of all customers. The future solution is anticipated to be implemented incrementally over the next ten (10) years due to the complexity of the capability and the cost and time it takes to obtain NSA accreditation.

[redacted]